undermining state institutions. The resources that are brought to bear, to attack the working of state institutions, are larger when GDP is higher.

We vividly saw this in India, in the period after 2005, when India was starting to reap remarkable success by private firms. The prospective gains from subverting state institutions were suddenly larger, and we got bigger investments into attacks on institutions. State apparatus that used to work when million-rupee bribes were offered broke down when the offers went to billions of rupees.

Perhaps India's growth of 1979–2011 was not adequately grounded in the required institutional capacity to be a prosperous liberal democracy, and perhaps this has something to do with the difficulties that have been seen after 2011.

Keeping score

The advantage of a well-measured GDP is that it can become a report card for the government. However, as argued above, it is possible to get GDP growth for a short time through all sorts of bad policies. The path to becoming an advanced country lies in many generations of sustained improvement in institutions. If we are not to keep score using GDP growth, what measures could be useful?

There is no one measure of institutional quality, but we can think of a few measures that are useful in thinking about how we are faring in building a republic.

Safety: The number of young women walking alone on a street, at night, shows the extent of perceived safety and the functioning of the criminal justice system. This is a good measure of Indian institutional quality.

Flight of millionaires: The number of millionaires who emigrate out of India, per year, is an important measure. Millionaires in India are not ordinary people. They have acquired deep locale-specific knowledge, have achieved economic success and have roots in India. They do not leave the country looking for better economic opportunities. They are buying homes